formed when they are referenced in two parallel currencies and chains. Doing so creates competition at the protocol level and creates the best possible smart contract platform. Not only is the code of the entire Ethereum blockchain public and forkable, but each DeFi dApp built on top of Ethereum is as well. Should inefficient or suboptimal DeFi applications exist, the code can be easily copied, improved, and redeployed through forking. Forking and its benefits arise from the open nature of DeFi and blockchains.

Forking creates an interesting challenge to DeFi platforms, namely, *vampirism*: an exact or near-carbon copy of a DeFi platform designed to poach liquidity or users by offering larger incentives than the platform it is copying. Users might be attracted to the higher potential reward for the same functionality, which would cause a reduction in usage and liquidity on the initial platform.

If the inflationary rewards are flawed, with prolonged use the clone could perhaps collapse after a large asset bubble or could select closer-to-optimal models and replace the original platform. Vampirism is not an inherent risk or flaw but rather a complicating factor arising from the pure competition and openness of DeFi. The selection process will eventually give rise to more robust financial infrastructure with optimal efficiency.

LIMITED ACCESS

As smart contract platforms move to more scalable implementations, user friction falls, enabling a wide range of users and thus mitigating the second flaw of traditional finance: